

**MANISH  
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# MAKING PEOPLE WORK

Over a quarter of the world's new workers in the next five years will be Indian, but our education and work schemes are unprepared for the demographic dividend

**T**he alibis for India's poverty are a long list that includes corruption, weather, infrastructure, agriculture, subsidies, goofy politicians, greedy private sector, sleepy bureaucrats, myopic entrepreneurs, Mughals, British and much else, but an interesting omission for the last decade has been population. This former curse got repackaged as a demographic dividend (a high working and low dependent population) that will drive our growth rather than impede it. If demography is destiny, India really does have a unique opportunity as the only country growing younger in a rapidly ageing world: 25 per cent of the world's new workers in the next five years will be Indian.

This demographic dividend is a once in a lifetime opportunity but not a certainty. We could face dramatic social and cultural upheaval if the 270 million new entrants to our labour force over the next few decades find they are locked out of livelihoods, jobs, skills and education. Many Latin American countries, Russia and Cuba failed to gain from their demographic positives and face economic stagnation because their discontented populations turned to crime, socialism and populist leaders. India is no different; only a fool would view our Naxalite problem as a law and order issue.

I'd like to make the case that leveraging our demographic dividend and reducing poverty needs making our labour markets more inclusive. Most Indians can't escape their financial, geographic or social opening balance (the ovarian lottery) because of an employment, employability and education (3E) regime that amplifies and reinforces inequality of opportunity. The last 20

years of economic reforms have demonstrated that growth is a necessary but not sufficient condition for poverty reduction; even though India's population in poverty fell from 55 per cent to 28 per cent between 1974 and 2004, the number of poor has stagnated at 300 million. The data is beyond dispute that poverty in India is highly correlated with farm jobs, rural areas, informal employment, self-employment and illiteracy.

Reducing poverty needs five labour market transitions; farm to non-farm, rural to urban, unorganised to organised, subsistence self-employment to decent wage employment and school to work. We must get people out of farms because of pathetic productivity (India is the largest producer of milk in the world; we produce 100 million tonnes of milk with 75 million Indians involved. But the US produced 60 million tonnes with 10 million people). We need to move out of villages because a modern "geography of work" requires clustering and we only have 27 cities with more than 10 lakh people (also one lakh of India's six lakh villages have less than 200 people). The unorganised sector employs 93 per cent of our workers and is rightly called the "slavery of the 21st Century" because of low productivity, poor corridor effects and sub-optimal scale. Fifty per cent of our workers are self-employed but this is not the entrepreneurship that creates jobs and wealth. Most is forced and sub-optimal; the poor cannot afford to be unemployed, so they are self-employed. The school to work transition is failing because the ayatollahs of education and training have tried to control quality by controlling quantity and we have ended up with neither.

## PRESCRIPTION

➤ Labour should be a state subject so that chief ministers can create habitats for job creation

➤ We must incentivise multi-lingual instruction because English is a vocational skill

➤ The states must form skill development missions because they control delivery systems